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SIGN. OF STUDENT

ROOM NO. _____

SIGN. OF INVIGILATOR

END TERM EXAMINATION, JUNE- 2023

M.B.A.

FINANCIAL MANAGEMENT

MBA 202

Time: 3:00 Hrs.

M.M.: 100

Note: 1. This paper consists of three parts: **Part-A, Part-B & Part-C** respectively.

2. **Part-A, Part-B and Part-C** consists of **30 marks, 40 marks and 30 marks** respectively. Student has to attempt **all** questions from **Part-A**, **8** questions from **Part-B** and **3** questions from **Part-C** in **Answer Book**.

PART-A

1. Answer the following

30

A : Indicate True or False:

5 x 1

- (i) The basic goal of Financial Management is to create shareholder value by maximizing the wealth of the firm's owners
- (ii) The Modigliani Miller model suggests that the value of a firm is independent of its capital structure, assuming perfect capital markets without taxes or bankruptcy costs.
- (iii) The degree of operating leverage is a measure of financial risk
- (iv) The Gordon model suggests that the value of a company's stock is determined by its dividend yield and the cost of equity
- (v) DCF analysis does not consider qualitative factors or market conditions that may impact the future cash flows of a project or investment

B: Fill in the Blanks:

10 x 1

- (i) _____ refer to conflicts of interest that may arise between shareholders and managers, where managers may act in their own self-interest rather than in the best interest of shareholders.
- (ii) To arrive at the present value of cash flows, _____ is done at the rate which represents opportunity cost of funds.
- (iii) According to NOI approach, with increase in debt/equity ratio the financial risk of equity holders _____.
- (iv) _____ process implies buying securities in a market where price is low and selling where it is high.
- (v) The _____ leverage is a measure of total risk of the firm
- (vi) The larger the amount of fixed financial costs, the larger is the _____ required to recover them.
- (vii) To retain control over management, a firm would prefer use of _____ funds
- (viii) _____ represents minimum requirements for extending credit to a customer.

- (ix) A firm can not pay its dividend from its _____
- (x) A _____ merger occurs when companies at different stages of the supply chain combine their operations.

C : Write short answer of the following questions :

5 x 2

- (i) Define Internal Rate of Return (IRR) and briefly explain its significance in investment decision making.
- (ii) How does financial leverage magnify both profits and losses for a company?
- (iii) Discuss the advantages and disadvantages of using short-term bank loans for working capital financing.
- (iv) Payback period
- (v) Accounting profit vs economic profit

D. Tick the best alternative:

5 x 1

(i)	Financial management is mainly concerned with			
	(a)	arrangement of funds only	(b)	efficient management of every business
	(c)	all aspects of acquiring and utilizing means of financial resources for firm's activities	(d)	none of the above
(ii)	According to the traditional approach, what is the effect of an increase in degree of leverage on the valuation of the firm?			
	(a)	Increases	(b)	Decreases
	(c)	Remains Unaffected	(d)	Increases first and then decreases
(iii)	In EBIT-EPS analysis, the indifference point represents			
	(a)	The level of EBIT where the company starts making profits.	(b)	The point where the company's total cost is indifferent from total revenues.
	(c)	The point where the company covers all its variable costs.	(d)	The level of EBIT where the company is neither earning nor losing money.
(iv)	Which of the following is not an assumption of the MM theory for irrelevance of dividends?			
	(a)	No flotation costs	(b)	No tax discrimination on capital gains and dividends
	(c)	Irrational investors	(d)	No transaction costs
(v)	Which of the following factors is considered when estimating the terminal value in DCF analysis?			
	(a)	Expected growth rate of the company	(b)	Discount rate
	(c)	Projected cash flows for the next five years	(d)	Market conditions

PART-B

Answer any eight questions from the following:

8 x 5

2. What are the potential benefits for organizations that prioritize business ethics and social responsibility in their operations?
3. Explain the concept of time value of money and its significance in financial decision making.

4. Write a note on factors determine dividend policy.
5. Discuss the underlying assumptions, key principles, and implications of Modigliani-Miller (MM) Model on the valuation of a firm.
6. Explain the concept of financial leverage and operating leverage. Discuss how these forms of leverage affect a company's profitability and risk
7. From the following information calculate combined leverage:
EBIT ₹ 1,50,000, Fixed cost ₹ 2,00,000, EBT ₹ 60,000
8. Discuss the relevance and assumptions of the Gordon Model in determining the value of a dividend-payments.
9. Short term Sources of working capital finance
10. Reasons for merger and acquisitions
11. Discuss the different forms of corporate restructuring and their respective purposes.

PART-C

Answer any three questions from the following:

3 x 10

12. Company X and Company Y are in the same risk class and are identical in every respect except that company X uses debt, while company Y does not. The levered firm has Rs 9,00,000 debentures, carrying 10 per cent rate of interest. Both the firms earn 20 per cent operating profit on their total assets of Rs 15 lakhs. Assume perfect capital markets, rational investors and so on; a tax rate of 35 per cent and capitalization rate of 15 per cent for an all-equity company.
(a) Compute the value of firms X and Y using the Net Income (NI) Approach.
(b) Compute the value of each firm using the Net Operating Income (NOI) Approach.
13. Define capital structure. Explain the factors determining capital structure of a firm.
14. Discuss how EBIT-EPS Analysis helps in determining the optimal capital structure and the impact of leverage on a company's earnings per share (EPS)?
15. Why capital budgeting decisions are important for any firm? Also explain the NPV method of project evaluation in detail.
16. (a) Motives for cash
(b) Operating cycle and cash cycle of any firm